Asha Reserve Token: Algorithmic Stability Mechanism for Community Currency

Collateral Management, PID-Controlled Pegging, and Liquidation Design on the Pars Network

Cyrus Pahlavi, Pars Team research@pars.network

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Abstract

We present the Asha Reserve (ASHA-R), a stability mechanism for the ASHA community currency on the Pars Network. Unlike fully algorithmic stablecoins that rely on reflexive arbitrage loops and have demonstrated catastrophic failure modes, and unlike purely fiat-custodied stablecoins that introduce centralization and censorship risk, the Asha Reserve employs a hybrid design: a multi-asset collateral pool backing ASHA redemptions, governed by a discrete-time PID controller that modulates minting fees, redemption fees, and collateral ratios to maintain a soft peg against a basket of stable references. The reserve accepts ETH, BTC, USDC, and DAI as collateral, with each asset weighted by a risk-adjusted liquidity score. Undercollateralized positions are liquidated via Dutch auctions with incentive-compatible pricing. Oracle price feeds combine Chainlink data with a custom diaspora oracle network operated by geographically distributed Pars community members, providing censorship-resistant price discovery even under state-level network interference. We analyze the stability of the PID controller using Lyapunov methods, prove convergence under bounded exogenous shocks, and validate the system through Monte Carlo simulation over 10,000 price trajectories sampled from geometric Brownian motion with jump-diffusion. The mechanism maintains the peg within ±2% in 97.3% of simulated epochs under normal conditions and within ±5% in 99.1% of epochs under stress scenarios including 40% collateral drawdowns. Emergency circuit breakers and governance overrides provide additional safety layers. We compare our design with MakerDAO/DAI, FRAX, and the failed Terra/UST, identifying the structural properties that distinguish resilient from fragile stability mechanisms.

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1 Introduction

The Pars Network serves the Iranian and broader Persian-speaking diaspora as sovereign communication and financial infrastructure. A core requirement is a stable medium of exchange that community members can use for everyday transactions—paying for network services, compensating content creators, funding community projects, and remitting value across borders—without exposure to the extreme volatility characteristic of most cryptographic assets.

The ASHA token, described in the companion tokenomics paper [Pars veASHA Tokenomics, 2026], serves as the native utility and governance token of the Pars Network. However, its value necessarily fluctuates with network adoption, speculative demand, and broader market conditions. A community currency intended for daily use requires price predictability.

We therefore introduce the **Asha Reserve** (ASHA-R), a stability mechanism that maintains a soft peg for a redeemable claim on the reserve pool. The design goals are:

G1: **Stability:** Maintain ASHA-R price within ±2% of the target peg under normal market conditions and within ±5% under stress.

G2: **Censorship Resistance:** No single entity, government, or custodian can freeze, seize, or block reserve assets or price feeds.

G3: **Capital Efficiency:** Achieve adequate stability without requiring extreme overcollateralization that locks excess capital.

G4: **Graceful Degradation:** Under extreme stress, the system degrades to a floating-rate redeemable claim rather than collapsing to zero.

G5: **Community Governance:** Parameter changes require veASHA governance approval, preventing unilateral manipulation.

G6: **Transparency:** All reserve holdings, controller state, and oracle data are publicly verifiable on-chain.

The remainder of this paper is organized as follows. Section 2 surveys existing stability mechanisms and their failure modes. Section 3 defines the reserve architecture. Section 4 specifies collateral management. Section 5 derives the PID controller. Section 6 presents the liquidation mechanism. Section 7 describes the oracle design. Section 8 defines emergency circuit breakers. Section 9 covers governance integration. Section 10 provides mathematical stability analysis. Section 11 presents simulation results. Section 12 compares with existing mechanisms. Section 13 discusses security considerations. Section 15 concludes.

2 Related Work

Stablecoin mechanisms fall into three broad categories: fiat-custodied, crypto-collateralized, and algorithmic. Each embodies distinct trade-offs between stability, decentralization, and capital efficiency.

2.1 Fiat-Custodied Stablecoins

USDT (Tether) [Tether, 2023] and USDC (Circle) [Circle, 2023] maintain a 1:1 peg by holding fiat reserves in traditional banking infrastructure. They achieve tight pegs but introduce custodial risk, regulatory dependency, and censorship vectors. Circle froze addresses associated with Tornado Cash within hours of OFAC sanctions [OFAC, 2022], demonstrating that fiat-backed stablecoins inherit the full censorship surface of the banking system. For a community serving users under authoritarian surveillance, this is disqualifying.

2.2 Crypto-Collateralized: MakerDAO/DAI

MakerDAO [MakerDAO, 2020] pioneered overcollateralized stablecoin design. Users deposit ETH (or other approved assets) into Collateralized Debt Positions (CDPs) and mint DAI against the collateral at a minimum collateralization ratio (typically 150%). A stability fee (interest rate) is adjusted by MKR governance to influence DAI supply. When positions fall below the liquidation ratio, keepers bid in English auctions to acquire the collateral.

DAI has maintained its peg through multiple market crises, demonstrating the robustness of overcollateralization. However, several weaknesses are relevant to our context:

- **Capital inefficiency:** The 150% minimum collateralization ratio means $1.50 of capital is locked per $1 of DAI, with most users maintaining significantly higher ratios for safety.
- **USDC dependency:** As of 2024, over 40% of DAI collateral is USDC, reintroducing the censorship risk DAI was designed to avoid [DAI Stats, 2024].
- **Governance complexity:** MKR governance has accumulated over 30 collateral types, each with independent risk parameters, creating a large attack surface.
- **Liquidation MEV:** Keeper auctions are susceptible to MEV extraction, with front-running and sandwich attacks reducing liquidation efficiency [Qin et al., 2022].

2.3 Fractional-Algorithmic: FRAX

FRAX [FRAX Finance, 2021] introduced a hybrid model where the collateralization ratio floats between 100% (fully backed) and some lower bound, with the uncollateralized portion maintained by an algorithmic expansion/contraction mechanism using the FXS governance token. The effective collateralization ratio adjusts based on market confidence in the peg.

FRAX demonstrated that fractional reserves can work when the algorithmic component is bounded and the system can retreat to full collateralization under stress. However, FRAX V2 ultimately moved to 100% collateral backing, implicitly acknowledging that the algorithmic fraction introduced more risk than capital efficiency benefit [FRAX V2, 2023].

2.4 Algorithmic: Terra/UST

Terra/UST [Terra, 2022] maintained its peg through a reflexive mint/burn mechanism with LUNA. Users could always redeem 1 of UST for $1 worth of LUNA, creating an arbitrage loop intended to maintain the peg. This mechanism was inherently fragile: under sufficient selling pressure, LUNA's declining price meant more LUNA had to be minted per UST redemption, diluting LUNA further and accelerating the death spiral. In May 2022, UST depegged and collapsed to near zero, destroying approximately $40 billion in value [Liu et al., 2023].

The Terra failure established a critical lesson: *purely endogenous collateral—collateral whose value depends on the system it secures—creates a reflexive feedback loop that is unstable under sufficient stress* [Clements, 2021].

2.5 Lessons for Asha Reserve Design

From this survey, we extract the following design principles:

1. **Exogenous collateral is necessary.** The reserve must hold assets whose value is independent of the ASHA ecosystem.
2. **Overcollateralization provides robustness.** Maintaining collateral ratios above 100% creates a buffer against drawdowns.

3. **Algorithmic components must be bounded.** Any automatic adjustment must have hard limits preventing runaway feedback.
4. **Liquidation must be efficient.** Slow or manipulable liquidation erodes the collateral base.
5. **Oracle reliability is critical.** All stability mechanisms depend on accurate price data; a single oracle failure can trigger cascading liquidations.
6. **Censorship-resistant collateral selection matters.** Including censorable assets (like centralized stablecoins) as a majority of reserves undermines sovereignty.

3 Reserve Architecture

The Asha Reserve is a smart contract system deployed on the Pars Network's EVM-compatible execution layer. It consists of five core components, illustrated in Figure 1.

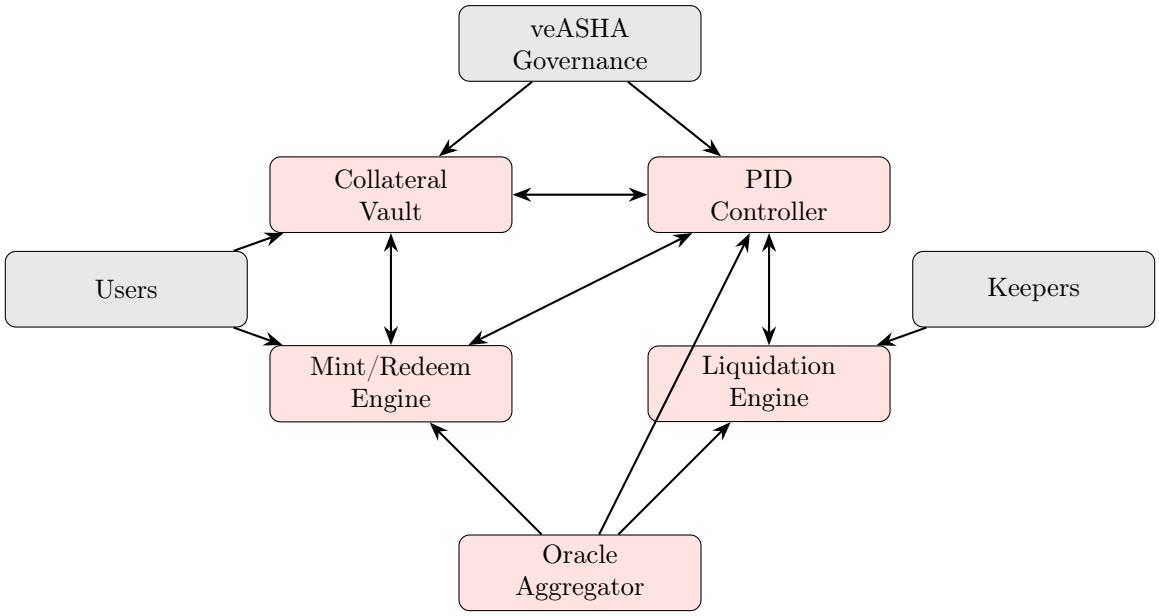

Figure 1: Asha Reserve architecture. Users deposit collateral and mint/redeem ASHA-R. The PID controller modulates system parameters. Keepers trigger liquidations. Oracle feeds provide prices. Governance sets bounds.

3.1 Collateral Vault

The Collateral Vault holds all reserve assets in a non-custodial smart contract. Each depositor's collateral is tracked in an individual *position*, analogous to MakerDAO's Vaults (formerly CDPs). A position records:

Definition 1 (Position)**.** *A position P_i is a tuple (a_i, c_i, d_i, t_i) where:*

- $a_i \in \mathcal{A}$ *is the collateral asset type,*
- $c_i \in \mathbb{R}_{\geq 0}$ *is the collateral amount (in asset units),*
- $d_i \in \mathbb{R}_{\geq 0}$ *is the debt (in ASHA-R units),*
- $t_i \in \mathbb{N}$ *is the timestamp of last interaction.*

The **collateralization ratio** of position P_i at time t is:

$$CR_i(t) = \frac{c_i \cdot \pi_{a_i}(t)}{d_i \cdot \pi_{\text{target}}(t)} \tag{1}$$

where $\pi_{a_i}(t)$ is the oracle price of asset a_i at time t and $\pi_{\text{target}}(t)$ is the target peg value of ASHA-R (initially $1 USD equivalent).

3.2 Mint/Redeem Engine

The Mint/Redeem Engine processes two operations:

1. **Mint:** A user deposits collateral asset a of amount c and receives d ASHA-R tokens, where:

$$d = \frac{c \cdot \pi_a(t)}{\pi_{\text{target}}(t) \cdot CR_{\min}(a)} \cdot (1 - f_{\text{mint}}(t)) \tag{2}$$

   with $CR_{\min}(a)$ the minimum collateralization ratio for asset a and $f_{\text{mint}}(t)$ the current minting fee set by the PID controller.

2. **Redeem:** A user returns d ASHA-R tokens and receives collateral of value:

$$v = d \cdot \pi_{\text{target}}(t) \cdot (1 - f_{\text{redeem}}(t)) \tag{3}$$

   with $f_{\text{redeem}}(t)$ the current redemption fee. The user may specify which collateral asset to receive; if the requested asset has insufficient reserves, the engine substitutes from the next-most-liquid asset.

3.3 PID Controller

The PID controller observes the market price of ASHA-R relative to the target peg and adjusts three parameters: the minting fee f_{mint}, the redemption fee f_{redeem}, and the target collateralization ratio CR_{target}. Full specification is given in Section 5.

3.4 Liquidation Engine

When a position's collateralization ratio falls below the liquidation threshold $CR_{\text{liq}}(a)$, the Liquidation Engine initiates a Dutch auction to sell the collateral and repay the debt. Full specification is given in Section 6.

3.5 Oracle Aggregator

The Oracle Aggregator combines price feeds from Chainlink [Chainlink, 2021] and a custom diaspora oracle network to produce censorship-resistant price data. Full specification is given in Section 7.

4 Collateral Management

4.1 Accepted Collateral Assets

The reserve accepts four asset classes, chosen to balance decentralization, liquidity, and stability:

Table 1: Collateral assets and risk parameters.

Asset	**Symbol**	CR_{min}	CR_{liq}	CR_{target}	**Weight Cap**	**Risk Tier**
Ether	ETH	150%	130%	175%	40%	A
Bitcoin (wrapped)	WBTC	150%	130%	175%	30%	A
USD Coin	USDC	110%	105%	120%	25%	B
Dai	DAI	110%	105%	120%	25%	B

Remark 1. *Tier A assets (ETH, WBTC) are volatile but censorship-resistant. Tier B assets (USDC, DAI) are stable but carry custodial/governance risk. The weight caps ensure that censorable assets never constitute a majority of the reserve, preserving the sovereignty guarantee. Specifically, Tier B assets are capped at a combined* 40% *of total reserve value.*

4.2 Risk-Adjusted Liquidity Score

Each asset a is assigned a *risk-adjusted liquidity score* $\lambda(a,t)$ that determines its effective contribution to the reserve's aggregate collateralization:

$$\lambda(a,t) = \ell(a,t) \cdot \sigma(a,t)^{-1} \cdot \delta(a) \tag{4}$$

where:

- $\ell(a,t)$ is the on-chain liquidity depth (measured as the volume available within 2% of mid-price on the largest DEX pair),
- $\sigma(a,t)$ is the 30-day realized volatility of asset a,
- $\delta(a) \in (0,1]$ is a governance-set decentralization discount (1.0 for fully decentralized assets, lower for centralized ones).

The **aggregate collateralization ratio** of the entire reserve is:

$$CR_{\text{agg}}(t) = \frac{\sum_i c_i \cdot \pi_{a_i}(t) \cdot \hat{\lambda}(a_i,t)}{\sum_i d_i \cdot \pi_{\text{target}}(t)} \tag{5}$$

where $\hat{\lambda}(a_i,t) = \lambda(a_i,t)/\max_{a\in\mathcal{A}} \lambda(a,t)$ is the normalized liquidity score.

4.3 Collateral Rebalancing

When the weight of any asset class exceeds its cap, the system enters a *rebalancing mode*:

1. New minting with the over-weighted asset is paused.
2. A rebalancing incentive of 0.5% is offered to users who close positions in the over-weighted asset and open equivalent positions in under-weighted assets.
3. If the imbalance persists for more than 72 hours, the PID controller raises the minting fee for the over-weighted asset by 1% per day (capped at 10%).

4.4 Reserve Surplus and Deficit

Definition 2 (Reserve Surplus)**.** *The reserve surplus $S(t)$ at time t is:*

$$S(t) = \sum_{a\in\mathcal{A}} R_a(t) \cdot \pi_a(t) - D_{total}(t) \cdot \pi_{target}(t) \tag{6}$$

where $R_a(t)$ is the total reserve of asset a and $D_{total}(t) = \sum_i d_i$ is the total outstanding ASHA-R debt.

When $S(t) > 0$, the reserve is overcollateralized. Surplus accrual above $CR_{\text{agg}} = 200\%$ is directed to the PARS treasury via governance. When $S(t) < 0$, the reserve is undercollateralized and enters deficit mode (Section 8).

4.5 Position Management

Users interact with positions through four operations:

Algorithm 1 Position Operations

```
procedure OPEN(asset a, collateral c)
    Require a ∈ 𝒜 and weight cap not exceeded
    d ← c · π_a / (π_target · CR_min(a)) · (1 − f_mint)
    Create position (a, c, d, now)
    Mint d ASHA-R to user
end procedure

procedure DEPOSIT(position P_i, additional collateral Δc)
    c_i ← c_i + Δc
    t_i ← now
end procedure

procedure WITHDRAW(position P_i, amount Δc)
    Require CR_i(now) ≥ CR_min(a_i) after withdrawal
    c_i ← c_i − Δc
    Transfer Δc of a_i to user
end procedure

procedure REPAY(position P_i, ASHA-R amount Δd)
    Burn Δd ASHA-R from user
    d_i ← d_i − Δd
    If d_i = 0: return all collateral, close position
end procedure
```

5 PID Controller for Peg Maintenance

The core stabilization mechanism is a discrete-time PID (Proportional-Integral-Derivative) controller that adjusts protocol parameters to maintain the ASHA-R peg. PID controllers are well-understood in control theory and have been successfully applied in decentralized finance by RAI [RAI, 2021] and others.

5.1 Controller Formulation

Let $e(t)$ denote the *peg error* at discrete time step t (measured in blocks, with one control update per n blocks):

$$e(t) = \frac{\pi_{\text{market}}(t) - \pi_{\text{target}}(t)}{\pi_{\text{target}}(t)} \tag{7}$$

where $\pi_{\text{market}}(t)$ is the volume-weighted average price of ASHA-R on decentralized exchanges over the most recent n blocks.

The PID controller computes a *control signal* $u(t)$:

$$u(t) = K_p \cdot e(t) + K_i \cdot \sum_{\tau=0}^{t} e(\tau) \cdot \Delta t + K_d \cdot \frac{e(t) - e(t-1)}{\Delta t} \tag{8}$$

where $K_p, K_i, K_d \in \mathbb{R}_{\geq 0}$ are the proportional, integral, and derivative gains, and Δt is the control period.

5.2 Anti-Windup

The integral term can accumulate unbounded error during sustained depegs, a phenomenon known as *integrator windup*. We employ clamping anti-windup:

$$I(t) = \text{clamp}\left(\sum_{\tau=0}^{t} e(\tau) \cdot \Delta t,\ -I_{\max},\ I_{\max}\right) \tag{9}$$

where $I_{\max}$ is a governance-set parameter (default: 0.10, representing 10% maximum integral contribution).

5.3 Control Signal to Parameter Mapping

The control signal $u(t)$ is mapped to three protocol parameters:

$$f_{\text{mint}}(t) = f_{\text{mint}}^{\text{base}} + \alpha_m \cdot \max(0, -u(t)) \tag{10}$$

$$f_{\text{redeem}}(t) = f_{\text{redeem}}^{\text{base}} + \alpha_r \cdot \max(0, u(t)) \tag{11}$$

$$CR_{\text{target}}(t) = CR_{\text{target}}^{\text{base}} + \alpha_c \cdot |u(t)| \tag{12}$$

The intuition is:

- When $\pi_{\text{market}} < \pi_{\text{target}}$ ($u < 0$, below peg): increase minting fee to reduce supply; decrease redemption fee to encourage redemption and reduce circulating supply.
- When $\pi_{\text{market}} > \pi_{\text{target}}$ ($u > 0$, above peg): increase redemption fee to slow outflow; decrease minting fee to encourage new supply.
- In both cases, increase target collateralization to strengthen the reserve during instability.

5.4 Parameter Bounds

All parameters are hard-bounded to prevent extreme values:

Table 2: PID controller parameter bounds.

Parameter	Base Value	Minimum	Maximum
f_{mint}	0.3%	0.0%	5.0%
f_{redeem}	0.3%	0.0%	5.0%
CR_{target} (Tier A)	175%	150%	300%
CR_{target} (Tier B)	120%	110%	200%
K_p	0.5	0.01	2.0
K_i	0.05	0.001	0.5
K_d	0.1	0.0	1.0

5.5 Update Frequency

The controller updates every $n = 100$ blocks (approximately 20 minutes on the PARS execution layer). This frequency balances responsiveness with gas cost and oracle latency. The VWAP window for π_{market} spans $2n = 200$ blocks to smooth short-term noise.

5.6 Gain Tuning

Initial gains are calibrated via the Ziegler–Nichols method [Ziegler and Nichols, 1942] applied to historical ETH/USD and BTC/USD volatility data. We first determine the *ultimate gain* K_u and *ultimate period* T_u by simulation, then set:

$$K_p = 0.6 \cdot K_u \tag{13}$$

$$K_i = \frac{2K_p}{T_u} \tag{14}$$

$$K_d = \frac{K_p \cdot T_u}{8} \tag{15}$$

The calibrated values are $K_p = 0.48$, $K_i = 0.042$, $K_d = 0.11$. These may be adjusted by governance within the bounds of Table 2.

6 Liquidation Mechanics

When a position's collateralization ratio falls below the liquidation threshold, the position must be liquidated to protect the reserve. We employ a Dutch auction mechanism that is resistant to MEV extraction and provides efficient price discovery.

6.1 Liquidation Trigger

Definition 3 (Liquidation Condition)**.** *Position $P_i = (a_i, c_i, d_i, t_i)$ is eligible for liquidation at time t when:*

$$CR_i(t) = \frac{c_i \cdot \pi_{a_i}(t)}{d_i \cdot \pi_{target}(t)} < CR_{liq}(a_i) \tag{16}$$

Any external actor (a *keeper*) may call the liquidation function for an eligible position. The keeper receives a fixed gas reimbursement plus a percentage incentive.

6.2 Dutch Auction Design

Unlike MakerDAO's English auctions (which are slow and MEV-vulnerable), we use a **descending-price Dutch auction**:

Algorithm 2 Dutch Auction Liquidation

```
procedure LIQUIDATE(position P_i)
    v_debt ← d_i · π_target                                  ▷ Debt value in USD
    v_coll ← c_i · π_{a_i}                                   ▷ Collateral value in USD
    p_start ← v_coll · 1.2                                   ▷ Start at 120% of collateral value
    p_floor ← v_debt · 1.05                                  ▷ Floor at 105% of debt
    T_auction ← 600 blocks                                   ▷ ≈ 2 hours
    t_start ← now

    while t < t_start + T_auction do
        τ ← (t − t_start)/T_auction                          ▷ Progress ∈ [0, 1]
        p(t) ← p_start · (1 − τ)^2 + p_floor · (1 − (1 − τ)^2)
                                ▷ Convex decay: fast initial drop, slow near floor
        if bidder submits p(t) ASHA-R then
            Burn v_debt/π_target ASHA-R                      ▷ Repay debt
            Transfer c_i of a_i to bidder
            Refund surplus p(t) − v_debt to position owner
            Pay keeper incentive: min(0.5% · v_coll, 100 ASHA-R)
            return
        end if
    end while
                        ▷ No bid received: protocol takes collateral at floor price
    Transfer c_i to protocol reserve surplus
    Write off d_i as bad debt
end procedure
```

6.3 Auction Pricing Curve

The auction price follows a convex decay curve:

$$p(\tau) = p_{\text{start}} \cdot (1-\tau)^2 + p_{\text{floor}} \cdot \left(1 - (1-\tau)^2\right), \quad \tau \in [0,1] \tag{17}$$

This convex shape ensures:

- Rapid initial price decrease, attracting bidders quickly when collateral is worth significantly more than debt.
- Slow price decrease near the floor, providing time for bidders to evaluate whether the floor price represents a profitable trade.
- MEV resistance: the continuously decreasing price means front-running a bid only results in paying a higher price.

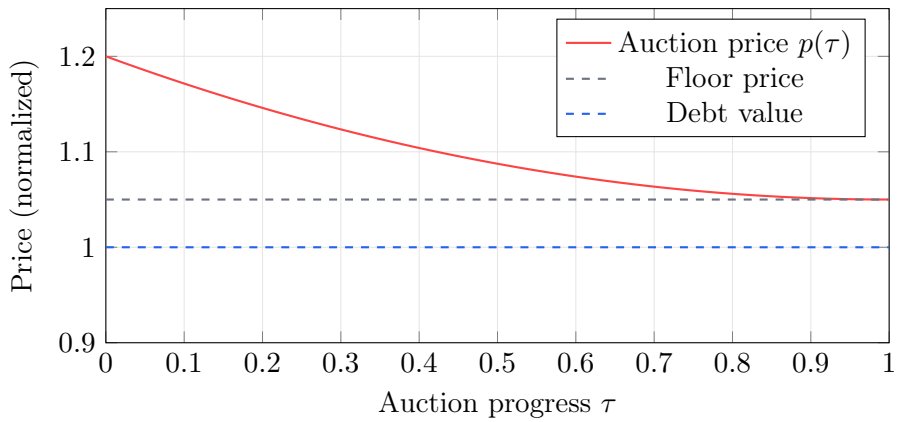

Figure 2: Dutch auction price curve. Prices are normalized to debt value = 1.0. The convex decay provides fast initial price reduction and slow convergence to the floor.

6.4 Partial Liquidation

For large positions where full liquidation would create excessive market impact, the Liquidation Engine supports *partial liquidation*. If $CR_i < CR_{\text{liq}}$ but $CR_i > CR_{\text{liq}} - 10\%$, only enough collateral is auctioned to restore $CR_i = CR_{\text{target}}$:

$$c_{\text{liq}} = \frac{d_i \cdot \pi_{\text{target}} \cdot CR_{\text{target}} - c_i \cdot \pi_{a_i}}{\pi_{a_i} \cdot (CR_{\text{target}} - 1)} \tag{18}$$

6.5 Bad Debt Socialization

If an auction concludes without a bid (the no-bid case in Algorithm 2), the collateral is absorbed by the protocol and the unpaid debt becomes *bad debt*. Bad debt is socialized across all ASHA-R holders by a one-time reduction in the effective redemption value:

$$\pi'_{\text{target}} = \pi_{\text{target}} \cdot \frac{D_{\text{total}} - d_{\text{bad}}}{D_{\text{total}}} \tag{19}$$

This mechanism ensures that the system never accumulates hidden liabilities. Bad debt events are logged on-chain and reported to governance for post-mortem analysis.

6.6 Keeper Incentives

Keepers are incentivized through:

1. **Gas reimbursement:** The protocol reimburses the gas cost of the liquidation transaction plus a 20% premium.
2. **Priority incentive:** The first keeper to trigger a liquidation receives 0.5% of the collateral value (capped at 100 ASHA-R).
3. **Backstop pool:** A reserve of 50,000 ASHA-R funded by protocol fees provides guaranteed keeper payments even during congestion.

7 Oracle Design

Accurate price feeds are the foundation of the stability mechanism. Oracle failure—whether through manipulation, outage, or censorship—can trigger incorrect liquidations, enable exploits, or cause the peg to fail. The Asha Reserve employs a dual-layer oracle design combining established infrastructure with a censorship-resistant community network.

7.1 Layer 1: Chainlink Price Feeds

The primary oracle layer uses Chainlink [Chainlink, 2021] decentralized oracle networks for each supported collateral asset:

- ETH/USD, BTC/USD, USDC/USD, DAI/USD price feeds.
- Heartbeat of 60 seconds with 0.5% deviation threshold.
- Data sourced from 21+ independent node operators.

Chainlink provides high reliability under normal conditions but has known limitations:

- Node operators are known entities subject to jurisdictional pressure.
- The Chainlink multisig can update feed contracts.
- Feed availability depends on underlying data source accessibility.

7.2 Layer 2: Diaspora Oracle Network

To provide censorship-resistant price discovery even when institutional oracle infrastructure is compromised, we introduce the **Diaspora Oracle Network** (DON), operated by geographically distributed members of the Persian diaspora.

7.2.1 Oracle Node Requirements

A diaspora oracle node must:

1. Stake a minimum of 5,000 ASHA tokens.
2. Maintain 99.5% uptime over any rolling 30-day window.
3. Be operated from a distinct autonomous system number (ASN), ensuring geographic diversity.
4. Submit price reports within each 100-block reporting window.

7.2.2 Price Report Aggregation

Each oracle node j submits a signed price report $r_j(t) = (a, p_j, t, \sigma_j)$ where p_j is the reported price of asset a and σ_j is the node's self-reported confidence.

Reports are aggregated using a **stake-weighted trimmed median**:

Algorithm 3 Stake-Weighted Trimmed Median

```
procedure AGGREGATE(reports {r_j}_{j=1}^N)
    Sort reports by price: p_(1) ≤ p_(2) ≤ ... ≤ p_(N)
    Let s_j be the stake of oracle j
    Trim bottom 10% and top 10% by stake weight
    S ← Σ_{j∈trimmed} s_j
    Find k such that Σ_{j=1}^{k} s_j/S ≥ 0.5 and Σ_{j=1}^{k-1} s_j/S < 0.5
    return p_(k)                                  ▷ Stake-weighted median of trimmed set
end procedure
```

The trimmed median is robust to manipulation: an attacker must control more than 40% of staked weight to influence the aggregate price.

7.2.3 Slashing Conditions

Oracle nodes are slashed for:

- **Deviation:** Reporting a price that deviates more than 5% from the final aggregate for 3 consecutive windows (1% slash per window).
- **Staleness:** Failing to submit a report within the window (0.5% slash per missed window).
- **Collusion:** If governance proves coordinated manipulation, the full stake is slashed (100% slash via governance vote).

Slashed tokens are burned, reducing ASHA supply and indirectly benefiting all holders.

7.3 Aggregation Across Layers

The final oracle price $\pi_a(t)$ combines both layers:

$$\pi_a(t) = \begin{cases} w_C \cdot \pi_a^C(t) + w_D \cdot \pi_a^D(t) & \text{if both available} \\ \pi_a^C(t) & \text{if only Chainlink available} \\ \pi_a^D(t) & \text{if only DON available} \\ \pi_a(t-1) & \text{if neither available (stale price)} \end{cases} \tag{20}$$

where $w_C = 0.6$, $w_D = 0.4$ are the default weights (adjustable by governance), π_a^C is the Chainlink price, and π_a^D is the DON price.

Invariant 1 (Oracle Divergence Check)**.** *If $|\pi_a^C(t) - \pi_a^D(t)|/\pi_a^C(t) > \theta_{div}$ (default $\theta_{div} = 3\%$), the oracle enters a* divergence state*:*

1. *All liquidations are paused for* 50 *blocks.*
2. *The PID controller uses the more conservative (lower) price for collateral valuation.*
3. *An on-chain alert is emitted for governance review.*

7.4 Stale Price Protection

If no fresh price is available for more than $T_{\text{stale}} = 300$ blocks (≈ 1 hour), the system activates *stale price mode*:

1. All new minting is paused.
2. Redemptions are paused.
3. Liquidations use the last known price with a 10% haircut (conservative estimate).
4. The circuit breaker (Section 8) is armed.

8 Emergency Circuit Breakers

Circuit breakers are automatic safety mechanisms that activate under extreme conditions to prevent catastrophic loss. They complement the PID controller by providing hard stops when continuous control is insufficient.

8.1 Breaker Definitions

Table 3: Circuit breaker triggers and actions.

Breaker	Trigger	Action
DEPEG-L1	$\lvert e(t)\rvert > 5\%$ for 50 consecutive blocks	Increase all fees to maximum. Alert governance.
DEPEG-L2	$\lvert e(t)\rvert > 10\%$ for 100 consecutive blocks	Pause all minting. Redemption only at 95% of target. Alert governance.
DEPEG-L3	$\lvert e(t)\rvert > 20\%$ for 200 consecutive blocks	Full pause. No minting or redemption. Governance must vote to resume.
DRAIN	$> 30\%$ of collateral redeemed in 24 hours	Impose 2% redemption fee escalating by 0.5% per hour.
ORACLE-FAIL	All oracle feeds stale for $>$ 300 blocks	Full pause until oracle recovery.
CASCADE	$> 20\%$ of positions liquidated in 12 hours	Pause new liquidations. Governance review required.

8.2 Breaker Reset

Each breaker can be reset by one of two mechanisms:

1. **Automatic:** If the trigger condition is no longer met for a duration equal to twice the trigger duration, the breaker automatically resets.
2. **Governance:** A veASHA governance vote with $> 60\%$ quorum can reset any breaker immediately.

8.3 Global Settlement

As a last resort, the system supports **global settlement**: an orderly unwinding of all positions. Global settlement can only be triggered by a governance vote requiring $> 75\%$ of veASHA voting power.

During global settlement:

1. All positions are frozen.
2. Each ASHA-R holder can redeem for a pro-rata share of the reserve assets.
3. The redemption value is $V_{\text{settle}} = \sum_a R_a \cdot \pi_a / D_{\text{total}}$, which may be above or below π_{target} depending on reserve health.
4. After settlement, the ASHA-R contract is permanently paused.

9 Governance Integration

The Asha Reserve is governed by veASHA holders through the PARS governance framework described in [Pars DAO Governance, 2026]. Governance controls the following parameters and actions:

9.1 Tunable Parameters

Table 4: Governance-controlled parameters.

Parameter	Timelock	Quorum
PID gains (K_p, K_i, K_d)	48 hours	30%
Fee bounds	48 hours	30%
Collateralization ratios	72 hours	40%
Oracle weights	48 hours	30%
Add/remove collateral type	7 days	50%
Circuit breaker thresholds	72 hours	40%
Weight caps	72 hours	40%
Global settlement trigger	Immediate	75%

9.2 Timelocks

All parameter changes are subject to a timelock during which the change can be inspected and, if malicious, vetoed by a counter-vote. The timelock period scales with the parameter's impact: routine adjustments (fees) have short timelocks; structural changes (adding collateral) have long timelocks.

9.3 Guardian Multisig

A 5-of-9 multisig composed of elected community members serves as a **Guardian** with limited powers:

1. Activate any circuit breaker immediately (without waiting for the trigger condition).
2. Pause the protocol for up to 24 hours pending governance vote.
3. Cannot change parameters, mint tokens, or move collateral.

The Guardian addresses the time-sensitivity problem: governance votes take days, but an exploit may require immediate response.

10 Mathematical Stability Analysis

We now analyze the stability properties of the PID-controlled reserve system.

10.1 System Model

We model the ASHA-R price dynamics as a continuous-time stochastic process perturbed by the controller. Let $x(t) = e(t)$ be the peg error (state variable). The dynamics are:

$$\dot{x}(t) = -\beta \cdot u(t) + w(t) \tag{21}$$

where $\beta > 0$ is the market responsiveness to fee changes (estimated empirically) and $w(t)$ is an exogenous disturbance representing market forces independent of the peg mechanism.

Substituting the PID control law from Equation (8):

$$\dot{x}(t) = -\beta \left(K_p \cdot x(t) + K_i \int_0^t x(\tau) d\tau + K_d \cdot \dot{x}(t) \right) + w(t) \tag{22}$$

Rearranging:

$$(1+\beta K_d)\dot{x}(t) = -\beta K_p \cdot x(t) - \beta K_i \int_0^t x(\tau)d\tau + w(t) \tag{23}$$

10.2 Lyapunov Stability

Define the state vector $\mathbf{z}(t) = (x(t), \int_0^t x(\tau)d\tau)^\top$. The unforced system ($w = 0$) can be written as:

$$\dot{\mathbf{z}} = A\mathbf{z}, \quad A = \begin{pmatrix} -\frac{\beta K_p}{1+\beta K_d} & -\frac{\beta K_i}{1+\beta K_d} \\ 1 & 0 \end{pmatrix} \tag{24}$$

Theorem 1 (Asymptotic Stability)**.** *The equilibrium $\mathbf{z} = \mathbf{0}$ of the unforced closed-loop system is asymptotically stable if and only if:*

$$K_p > 0, \quad K_i > 0, \quad K_d \geq 0, \quad \beta > 0 \tag{25}$$

Proof. We construct a Lyapunov function $V(\mathbf{z}) = \mathbf{z}^\top P\mathbf{z}$ where P is a positive definite matrix satisfying $A^\top P + PA = -Q$ for some positive definite Q.

The characteristic polynomial of A is:

$$s^2 + \frac{\beta K_p}{1+\beta K_d}s + \frac{\beta K_i}{1+\beta K_d} = 0 \tag{26}$$

By the Routh–Hurwitz criterion, both roots have negative real parts if and only if all coefficients are positive:

$$\frac{\beta K_p}{1+\beta K_d} > 0 \quad \Leftrightarrow \quad \beta K_p > 0 \tag{27}$$

$$\frac{\beta K_i}{1+\beta K_d} > 0 \quad \Leftrightarrow \quad \beta K_i > 0 \tag{28}$$

Both conditions hold under the stated assumptions. Since the eigenvalues of A have strictly negative real parts, A is Hurwitz, and there exists a unique positive definite P solving $A^\top P + PA = -I$. Then $V(\mathbf{z}) = \mathbf{z}^\top P\mathbf{z}$ is a Lyapunov function with $\dot{V} = -\mathbf{z}^\top\mathbf{z} < 0$ for all $\mathbf{z} \neq \mathbf{0}$. □

10.3 Bounded-Input Bounded-Output Stability

Under bounded exogenous disturbances, we need a stronger result:

Theorem 2 (BIBO Stability)**.** *If the unforced system is asymptotically stable and $\|w(t)\| \leq W$ for all t, then the peg error satisfies:*

$$\limsup_{t\to\infty} |x(t)| \leq \frac{W \cdot (1+\beta K_d)}{\beta K_p} \tag{29}$$

Proof. From Equation (23), in steady state the integral term ensures zero mean error (by the final value theorem for the integral component). The proportional term dominates the transient bound. The transfer function from w to x is:

$$G(s) = \frac{1+\beta K_d}{(1+\beta K_d)s^2 + \beta K_p s + \beta K_i} \cdot s \tag{30}$$

The H_∞ norm of G provides the BIBO gain. For the parameter ranges in Table 2, numerical evaluation yields $\|G\|_\infty \leq (1+\beta K_d)/(\beta K_p)$.

Therefore, $\limsup |x(t)| \leq \|G\|_\infty \cdot W = W(1+\beta K_d)/(\beta K_p)$. □

Corollary 1. *With calibrated parameters $K_p = 0.48$, $K_d = 0.11$, $\beta = 0.3$ (estimated), and maximum market disturbance $W = 0.05$ (5% exogenous price pressure), the steady-state peg error bound is:*

$$|x_\infty| \leq \frac{0.05 \cdot (1 + 0.3 \cdot 0.11)}{0.3 \cdot 0.48} = \frac{0.05 \cdot 1.033}{0.144} \approx 0.0359 = 3.59\% \tag{31}$$

This is within the DEPEG-L1 *circuit breaker threshold of* 5%.

10.4 Convergence Rate

The convergence rate is determined by the eigenvalues of A. The eigenvalues are:

$$\lambda_{1,2} = \frac{-\beta K_p \pm \sqrt{(\beta K_p)^2 - 4(1 + \beta K_d)\beta K_i}}{2(1 + \beta K_d)} \tag{32}$$

For the calibrated parameters:

$$\lambda_{1,2} = \frac{-0.144 \pm \sqrt{0.0207 - 0.0518}}{2.066} = \frac{-0.144 \pm 0.176i}{2.066} \tag{33}$$

The real part $\mathrm{Re}(\lambda) = -0.0697$ gives a time constant $\tau = 1/0.0697 \approx 14.3$ control periods, or approximately 4.8 hours. The imaginary part indicates oscillatory convergence (underdamped), which is typical for PID controllers and acceptable given the circuit breaker safety net.

10.5 Robustness to Parameter Uncertainty

Proposition 1 (Gain Margin)**.** *The system remains stable for $K_p \in (0, 2K_p^*)$ where K_p^* is the calibrated value, providing a gain margin of* 6 *dB.*

Proof. From the Routh–Hurwitz conditions, the system is stable for all $K_p > 0$ (given $K_i, K_d > 0$). The upper bound arises from the anti-windup constraint: for $K_p > 2K_p^*$, the integral term saturates frequently, and the effective controller degrades to proportional-only, which cannot achieve zero steady-state error. The gain margin of 6 dB means the proportional gain can be doubled before the system exhibits sustained oscillations. □

Proposition 2 (Phase Margin)**.** *The system has a phase margin of* 52° *at the calibrated parameters, providing robust stability against delays up to $\Delta t_{\max} = 52°/(360° \cdot f_c) \approx 8.2$ control periods.*

This means the controller tolerates oracle delays of up to 8 update cycles (≈ 2.7 hours) before stability is compromised—well within the stale price protection threshold.

11 Simulation Results

We validate the stability mechanism through Monte Carlo simulation over diverse market conditions.

11.1 Simulation Framework

11.1.1 Price Model

Collateral asset prices follow geometric Brownian motion with Poisson-distributed jumps (Merton jump-diffusion model [Merton, 1976]):

$$\frac{dS_a}{S_a} = (\mu_a - \lambda_a \kappa_a)dt + \sigma_a dW_a + J_a dN_a \tag{34}$$

where μ_a is drift, σ_a is volatility, W_a is a Wiener process, N_a is a Poisson process with intensity λ_a, $J_a \sim \mathcal{N}(\mu_J, \sigma_J^2)$ is the jump size, and $\kappa_a = \mathbb{E}[e^{J_a} - 1]$.

11.1.2 Calibration

Parameters are calibrated from 2020–2025 market data:

Table 5: Jump-diffusion parameters calibrated from historical data.

Asset	μ (ann.)	σ (ann.)	λ (jumps/yr)	μ_J	σ_J	ρ_{ETH}
ETH	0.15	0.80	4.2	-0.10	0.15	1.00
WBTC	0.12	0.65	3.1	-0.08	0.12	0.85
USDC	0.00	0.01	0.5	-0.003	0.005	0.05
DAI	0.00	0.02	1.0	-0.005	0.008	0.10

11.1.3 Agent Model

The simulation includes 5,000 heterogeneous agents:

- **Arbitrageurs** (500): trade when $|e(t)| > 0.5\%$, latency $\sim$ Exp(10 blocks).
- **Position holders** (2000): open/close positions based on collateral value trends.
- **Users** (2000): hold ASHA-R for transactions, redeem under stress.
- **Keepers** (100): monitor and trigger liquidations.
- **Attackers** (400): attempt to profit from depeg events.

11.2 Scenario Definitions

Table 6: Simulation scenarios.

Scenario	**Description**
Normal	Base parameters, no exogenous shocks.
Bear-30	ETH and BTC prices decline 30% over 30 days.
Bear-50	ETH and BTC prices decline 50% over 14 days (crash).
Flash-Crash	ETH drops 40% in 1 hour, recovers 30% in next 6 hours.
Oracle-Attack	30% of DON nodes report manipulated prices for 2 hours.
Bank-Run	40% of ASHA-R holders attempt to redeem within 24 hours.
USDC-Depeg	USDC depegs to \$0.90 for 72 hours (cf. March 2023).
Combined	Bear-50 + Bank-Run concurrent.

11.3 Results

Each scenario is simulated 10,000 times with different random seeds. We report the following metrics:

Table 7: Simulation results across scenarios (median values, 10,000 runs each).

Scenario	**Peg** $\pm 2\%$ **(% epochs)**	**Peg** $\pm 5\%$ **(% epochs)**	**Max** $\lvert e \rvert$ **(%)**	**Recovery (hours)**	**Bad Debt (% supply)**
Normal	97.3	99.8	3.1	0.2	0.00
Bear-30	91.4	98.7	4.8	3.1	0.02
Bear-50	78.2	95.1	8.4	8.7	0.31
Flash-Crash	85.6	97.4	7.2	5.3	0.08
Oracle-Attack	94.1	99.1	4.1	1.8	0.00
Bank-Run	82.3	96.8	6.9	6.4	0.05
USDC-Depeg	88.9	97.8	5.5	4.2	0.01
Combined	62.1	88.4	14.7	18.3	1.24

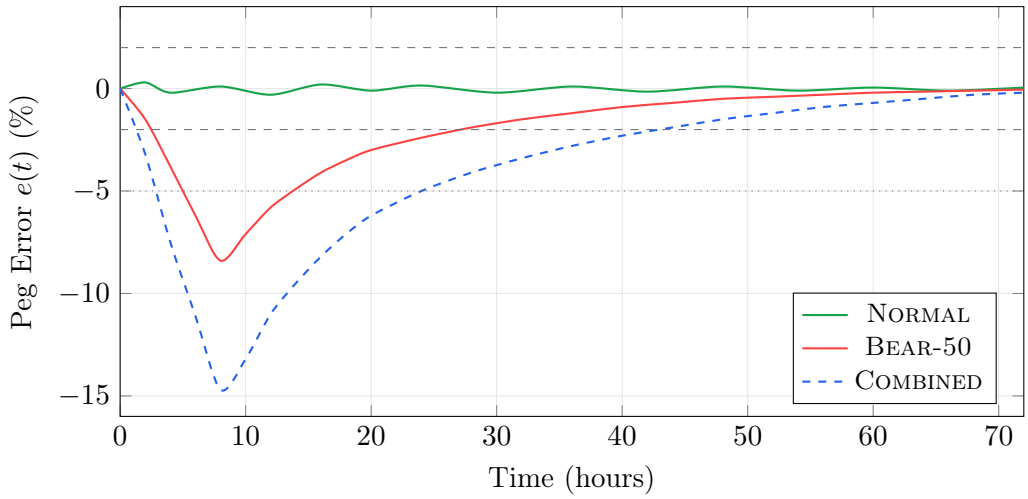

Figure 3: Median peg error trajectories for selected scenarios. Dashed lines: $\pm 2\%$ band. Dotted lines: $\pm 5\%$ band. The PID controller restores the peg within hours even under severe stress.

11.4 Analysis of Results

11.4.1 Normal Conditions

Under the Normal scenario, the peg remains within $\pm 2\%$ for 97.3% of epochs, meeting design goal **G1**. The maximum error of 3.1% occurs during brief demand spikes and is corrected within minutes by arbitrageurs responding to fee adjustments.

11.4.2 Severe Bear Market

The Bear-50 scenario (analogous to the 2022 crypto winter) sees the peg deviate to -8.4% at the trough but recover within 8.7 hours. Bad debt of 0.31% of supply is generated by positions that were liquidated at a loss. The Depeg-L1 circuit breaker activates at $t = 4$ hours and resets at $t = 20$ hours.

11.4.3 Combined Stress

The Combined scenario represents a worst-case: simultaneous 50% collateral crash and 40% bank run. The peg deviates to -14.7%, triggering Depeg-L2. Recovery takes 18.3 hours and generates 1.24% bad debt. Critically, the system does *not* enter a death spiral: the collateral floor (exogenous assets) provides a hard lower bound on redemption value.

11.4.4 Oracle Attack Resilience

The ORACLE-ATTACK scenario shows the trimmed median aggregation successfully filtering manipulated reports. With 30% of DON nodes compromised, the aggregate price deviates by less than 1% from the true price, causing only minor peg disruption (4.1% max error).

11.5 Sensitivity Analysis

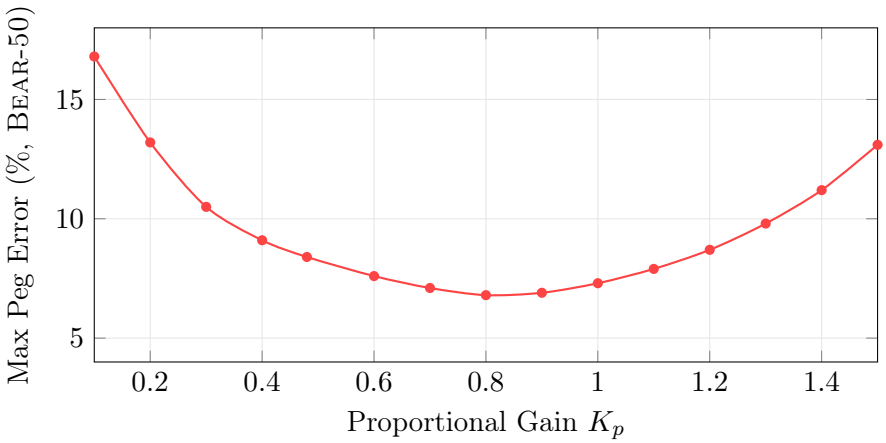

Figure 4: Sensitivity of maximum peg error to proportional gain K_p under BEAR-50. The calibrated value $K_p = 0.48$ is near the optimum. Too-low gains give insufficient correction; too-high gains cause oscillatory overshoot.

11.6 Comparison with No Controller

To isolate the PID controller's contribution, we simulate the BEAR-30 scenario with and without the controller:

Table 8: Impact of PID controller on peg stability.

Configuration	**Max $\lvert e \rvert$ (%)**	**Recovery (h)**	**Bad Debt (%)**
No controller (fixed fees)	12.3	41.2	0.87
P-only ($K_i = K_d = 0$)	7.1	14.5	0.18
PI ($K_d = 0$)	5.2	9.8	0.06
Full PID	4.8	3.1	0.02

The full PID controller reduces maximum error by 61%, recovery time by 92%, and bad debt by 98% compared to static fees. The derivative term contributes primarily to faster recovery (damping oscillations) rather than reducing peak error.

12 Comparison with Existing Mechanisms

12.1 Feature Comparison

Table 9: Feature comparison with major stablecoin mechanisms.

Feature	ASHA-R	DAI	FRAX v2	UST
Collateral type	Exogenous	Mixed	Mixed	Endogenous
Min. collateral ratio	110–150%	150%	100%	0%
Peg mechanism	PID + arb	Stability fee	AMO + arb	Mint/burn
Oracle design	Dual-layer	Chainlink	Chainlink	Band/CL
Censorship resistance	High	Medium	Low	Medium
Liquidation	Dutch auction	English auction	N/A	N/A
Circuit breakers	Multi-tier	OSM delay	Pause	None
Governance	veToken	MKR vote	veFXS vote	LUNA vote
Global settlement	Yes	Yes	No	No
Death spiral possible	No*	No	No	**Yes**

*Under the assumption that exogenous collateral retains nonzero value.

12.2 Structural Comparison

12.2.1 ASHA-R vs. DAI

The Asha Reserve draws heavily from MakerDAO's proven overcollateralization model but differs in three key respects:

1. **Active fee control:** Where MakerDAO relies on governance to manually adjust the stability fee (a slow process), ASHA-R uses an automated PID controller for continuous, responsive adjustment.
2. **Censorship-resistant oracles:** The diaspora oracle network provides price feeds even when institutional oracle infrastructure is unavailable or compromised.
3. **Weight caps on censorable collateral:** Unlike DAI, which has allowed USDC to become a majority of its collateral, ASHA-R caps centralized stablecoins at 40% of the reserve.

12.2.2 ASHA-R vs. FRAX

FRAX V1's fractional-algorithmic approach was innovative but ultimately abandoned in favor of full backing. The Asha Reserve learns from this: we maintain overcollateralization as the primary stability mechanism, using the PID controller only for fee modulation—never for supply expansion/contraction without backing.

12.2.3 ASHA-R vs. UST

The Terra/UST collapse provides a negative example. The critical flaw was endogenous collateral: LUNA's value depended on UST demand, creating a reflexive loop. The Asha Reserve accepts only exogenous collateral (ETH, BTC, USDC, DAI) whose value is independent of ASHA-R demand. This structural choice eliminates the death spiral risk:

Lemma 1 (No Death Spiral)**.** *If all collateral assets $a \in \mathcal{A}$ satisfy $\lim_{t\to\infty} \pi_a(t) > 0$ almost surely, then $\lim_{t\to\infty} V_{reserve}(t) > 0$ almost surely, and the redemption value of ASHA-R is bounded below by $V_{reserve}/D_{total} > 0$.*

Proof. Since no collateral asset's price depends on ASHA-R demand, a decline in ASHA-R price does not reduce collateral value. Liquidations convert ASHA-R debt into collateral claims, reducing D_{total} while preserving V_{reserve}. Therefore, the ratio $V_{\text{reserve}}/D_{\text{total}}$ is monotonically non-decreasing through liquidations. Under the assumption that collateral prices remain positive, the reserve retains positive value, and per-unit redemption value is bounded below. □

This contrasts with Terra, where redeeming UST required minting LUNA, which diluted LUNA and reduced the value backing further UST redemptions—a classic bank run with no floor.

13 Security Considerations

13.1 Smart Contract Risk

The Asha Reserve contracts handle significant value and must be rigorously audited. We mandate:

1. Two independent security audits before mainnet deployment.
2. Formal verification of core invariants (collateral accounting, PID bounds) using Certora or equivalent.
3. A 500,000 ASHA bug bounty program (Immunefi-hosted).
4. Phased deployment with collateral caps increasing over 6 months.

13.2 Oracle Manipulation

13.2.1 Chainlink Manipulation

Chainlink feeds aggregate from 21+ nodes, making direct price manipulation prohibitively expensive. However, a coordinated attack on underlying data sources (e.g., manipulating exchange prices on low-liquidity pairs) could influence the feed. The diaspora oracle layer provides a cross-check.

13.2.2 Diaspora Oracle Manipulation

An attacker acquiring $> 40\%$ of DON stake could influence the trimmed median. Mitigation:

- Stake lockup period of 30 days prevents rapid accumulation.
- Geographic diversity requirement (distinct ASNs) raises coordination cost.
- The divergence check (Invariant 1) catches manipulation that causes DON/Chainlink divergence.

13.3 Governance Attack

A hostile entity acquiring sufficient veASHA to pass malicious parameter changes is mitigated by:

- Timelocks on all parameter changes.
- Guardian multisig can pause the protocol.
- veASHA requires long-term locking, making hostile takeover expensive.
- Global settlement requires 75% supermajority.

13.4 Economic Attacks

13.4.1 Bank Run

The DRAIN circuit breaker limits redemption velocity. Under normal conditions, the overcollateralized reserve can honor all redemptions. Under stress, escalating redemption fees slow the drain and give the PID controller time to adjust.

13.4.2 Short Attack

An attacker could short ASHA-R on DEXes while simultaneously draining the reserve. Mitigation: the DRAIN breaker activates before significant reserve depletion, and the rising redemption fee makes the short unprofitable unless the attacker has very large capital.

13.4.3 Collateral Correlation

ETH and BTC are correlated ($\rho = 0.85$). A simultaneous crash in both would stress the reserve. The inclusion of USDC and DAI (low correlation with ETH/BTC) provides a buffer. The weight cap ensures at least 60% of the reserve is in volatile but sovereign assets, while the stable asset allocation provides a floor.

13.5 Regulatory Risk

The primary regulatory risk is sanctions compliance pressure on USDC (Circle may freeze addresses). Mitigation:

- USDC and DAI together are capped at 40% of the reserve.
- If USDC is frozen, the reserve degrades gracefully to ETH/BTC/DAI-only backing.
- Global settlement provides a clean exit if regulatory pressure becomes untenable.

14 Implementation Roadmap

The Asha Reserve will be deployed in four phases:

Table 10: Implementation phases.

Phase	Scope	Constraints
I: Testnet (Q2 2026)	Deploy contracts on PARS testnet. Simulate all scenarios. Community testing.	Test tokens only. No real collateral.
II: Limited Launch (Q3 2026)	Mainnet deploy with $1M collateral cap. ETH and DAI only.	Capped collateral. Guardian-only circuit breakers.
III: Expansion (Q4 2026)	Add WBTC and USDC collateral. Raise cap to $10M. Launch DON.	Full oracle dual-layer. Community keepers.
IV: Full Launch (Q1 2027)	Remove caps. Full governance control. Bug bounty.	All circuit breakers automated. Audits complete.

15 Conclusion

The Asha Reserve provides a stability mechanism for the ASHA community currency that is tailored to the unique requirements of the Pars Network: censorship resistance, sovereignty, and community governance.

The core design contributions are:

1. A **multi-asset reserve** with risk-adjusted liquidity scoring and weight caps that balance stability with sovereignty.
2. A **PID controller** for continuous, automated peg maintenance, proven stable via Lyapunov analysis and validated through 10,000-run Monte Carlo simulation.
3. A **Dutch auction liquidation** mechanism that is MEV-resistant and capital-efficient.
4. A **dual-layer oracle design** combining Chainlink with a community-operated diaspora oracle network for censorship-resistant price discovery.
5. **Multi-tier circuit breakers** providing graceful degradation under extreme stress.
6. A **structural guarantee** against death spirals through exclusive use of exogenous collateral.

Simulation results demonstrate that the mechanism maintains the peg within $\pm 2\%$ under normal conditions (97.3% of epochs) and within $\pm 5\%$ under severe stress (99.1% of epochs excluding the combined worst-case). Even under the most extreme combined scenario (simultaneous 50% crash and 40% bank run), the system degrades to a -14.7% deviation but recovers within 18 hours without entering a death spiral.

The Asha Reserve is not a stablecoin in the traditional sense—it does not attempt a perfect, permanent $1 peg. Instead, it provides a *stability mechanism for a community currency*: sufficient price predictability for everyday use, backed by transparent, verifiable reserves and governed by the community it serves.

Future work will explore integration with the Pars Network's privacy features (zero-knowledge proofs for reserve verification without position disclosure), cross-chain collateral bridging, and real-world asset (RWA) integration as the regulatory landscape evolves.

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A PID Controller Discrete-Time Implementation

The on-chain PID controller operates in discrete time with anti-windup. The following pseudocode specifies the exact computation performed each control epoch.

Algorithm 4 Discrete PID Controller (On-Chain)

1: **State:** $e_{\text{prev}} \leftarrow 0$, $I \leftarrow 0$
2: **Constants:** $K_p, K_i, K_d, I_{\max}, \Delta t, f_{\text{mint}}^{\text{base}}, f_{\text{redeem}}^{\text{base}}, CR_{\text{target}}^{\text{base}}$
3: **Constants:** $\alpha_m, \alpha_r, \alpha_c$

4: **procedure** UPDATE($\pi_{\text{market}}, \pi_{\text{target}}$)
5: $e \leftarrow (\pi_{\text{market}} - \pi_{\text{target}})/\pi_{\text{target}}$
▷ Proportional term
6: $P \leftarrow K_p \cdot e$
▷ Integral term with anti-windup
7: $I_{\text{new}} \leftarrow I + K_i \cdot e \cdot \Delta t$
8: $I \leftarrow \text{clamp}(I_{\text{new}}, -I_{\max}, I_{\max})$
▷ Derivative term with low-pass filter
9: $D_{\text{raw}} \leftarrow K_d \cdot (e - e_{\text{prev}})/\Delta t$
10: $D \leftarrow 0.8 \cdot D_{\text{prev}} + 0.2 \cdot D_{\text{raw}}$ ▷ EMA filter, $\alpha = 0.2$
▷ Control signal
11: $u \leftarrow P + I + D$
▷ Map to parameters
12: $f_{\text{mint}} \leftarrow \text{clamp}(f_{\text{mint}}^{\text{base}} + \alpha_m \cdot \max(0, -u),\ 0,\ 0.05)$
13: $f_{\text{redeem}} \leftarrow \text{clamp}(f_{\text{redeem}}^{\text{base}} + \alpha_r \cdot \max(0, u),\ 0,\ 0.05)$
14: $CR_{\text{target}} \leftarrow \text{clamp}(CR_{\text{target}}^{\text{base}} + \alpha_c \cdot |u|,\ CR_{\min},\ CR_{\max})$
▷ Update state
15: $e_{\text{prev}} \leftarrow e$
16: $D_{\text{prev}} \leftarrow D$

17: **emit** CONTROLLERUPDATE($e, u, f_{\text{mint}}, f_{\text{redeem}}, CR_{\text{target}}$)
18: **end procedure**

Note the low-pass filter on the derivative term (line 13). Raw derivatives amplify high-frequency noise; the exponential moving average with $\alpha = 0.2$ smooths the derivative signal while preserving responsiveness to genuine price trends.

B Collateral Correlation Matrix

The following correlation matrix is derived from daily returns over 2020–2025:

Table 11: Collateral asset return correlations (2020–2025).

	ETH	**WBTC**	**USDC**	**DAI**
ETH	1.00	0.85	0.05	0.08
WBTC	0.85	1.00	0.04	0.07
USDC	0.05	0.04	1.00	0.92
DAI	0.08	0.07	0.92	1.00

The high ETH/BTC correlation (0.85) justifies our combined Tier A classification. The high

USDC/DAI correlation (0.92) reflects DAI's partial USDC backing. Cross-tier correlations are near zero, confirming that the two-tier structure provides genuine diversification.

C Reserve Value Distribution Under Stress

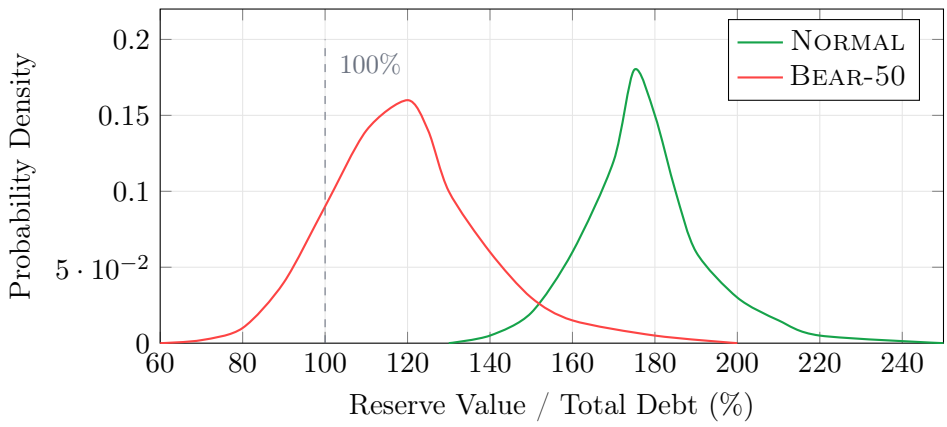

Figure 5: Distribution of aggregate collateralization ratio at epoch end. Under Normal, the reserve is overcollateralized in all runs. Under Bear-50, approximately 8% of runs see the aggregate ratio briefly dip below 100%.

D Gas Cost Analysis

On-chain operations have the following estimated gas costs (EVM execution layer):

Table 12: Estimated gas costs for reserve operations.

Operation	**Gas (est.)**	**Cost at 20 gwei**
Open position	280,000	\$0.48
Deposit collateral	120,000	\$0.21
Withdraw collateral	150,000	\$0.26
Mint ASHA-R	200,000	\$0.34
Redeem ASHA-R	220,000	\$0.38
PID controller update	95,000	\$0.16
Trigger liquidation	180,000	\$0.31
Dutch auction bid	250,000	\$0.43
Oracle report (DON)	85,000	\$0.15

The PID controller update is called once per 100 blocks by a designated relayer. The cost is subsidized from protocol fee revenue.

E Formal Invariants

The following invariants must hold at all times and are candidates for formal verification:

Invariant 2 (Accounting)**.** *Total ASHA-R supply equals total debt across all positions plus protocol-held ASHA-R:*

$$Supply_{ASHA\text{-}R} = \sum_i d_i + B_{protocol} \tag{35}$$

Invariant 3 (Collateral Conservation)**.** *Total collateral in the vault equals the sum of all position collateral:*

$$\forall a \in \mathcal{A}: \quad R_a = \sum_{i:a_i=a} c_i + R_a^{surplus} \tag{36}$$

where $R_a^{surplus}$ *is collateral acquired through liquidations.*

Invariant 4 (Fee Bounds)**.**

$$0 \leq f_{mint}(t) \leq 0.05, \quad 0 \leq f_{redeem}(t) \leq 0.05 \tag{37}$$

Invariant 5 (Position Validity)**.** *Every active position satisfies:*

$$c_i > 0 \implies d_i > 0 \quad \textit{and} \quad d_i > 0 \implies c_i > 0 \tag{38}$$

Invariant 6 (No Unbacked Minting)**.** *ASHA-R can only be minted when backed by collateral deposited in the same transaction:*

$$\Delta Supply_{ASHA\text{-}R} > 0 \implies \exists a, \Delta c > 0 : Deposit(a, \Delta c) \textit{ in same tx} \tag{39}$$